

weakly superstitious). But in this case, Nero's merriment did not come from the fact that John went back to his place in life, so much as it was from the fact that Nero's methods, beliefs, and track record had suddenly gained in credibility. Nero would be able to raise public money on his track record precisely because such a thing could not possibly happen to him. A repetition of such an event would pay off massively for him. Part of Nero's elation also came from the fact that he felt proud of his sticking to his strategy for so long, in spite of the pressure to be the alpha male. It was also because he would no longer question his trading style when others were getting rich because they misunderstood the structure of randomness and market cycles.

SEROTONIN AND RANDOMNESS

Can we judge the success of people by their raw performance and their personal wealth? Sometimes – but not always. We will see how, at any point in time, a large section of businessmen with outstanding track records will be no better than randomly thrown darts. More curiously, and owing to a peculiar bias, cases will abound of the least-skilled businessmen being the richest. However, they will fail to make an allowance for the role of luck in their performance.

Lucky fools do not bear the slightest suspicion that they may be lucky fools – by definition, they do not know that they belong to such category. They will act as if they deserved the money. Their strings of successes will inject them with so much *serotonin* (or some similar substance) that they will even fool themselves about their ability to outperform markets (our hormonal system does not know whether our successes depend on randomness). One can notice it in their posture; a profitable trader will walk upright, dominant style – and will tend to talk more than a losing trader. Scientists found out that serotonin, a neurotransmitter, seems to command a large share of our human behavior. It sets a positive feedback, the virtuous circle, but, owing to an external kick from randomness, can start a reverse motion and cause a vicious circle. It has been shown that monkeys injected with serotonin will rise in the pecking order, which in turn causes an increase of the serotonin level in their blood – until the virtuous cycle breaks and starts

a vicious one (during the vicious cycle failure will cause one to slide in the pecking order, causing a behavior that will bring about further drops in the pecking order). Likewise, an increase in personal performance (regardless of whether it is caused deterministically or by the agency of lady Fortuna) induces a rise of serotonin in the subject, itself causing an increase of what is commonly called *leadership* ability. One is “on a roll”. Some imperceptible changes in deportment, like an ability to express oneself with serenity and confidence, makes the subject look credible – as if he truly deserved the shekels. Randomness will be ruled out as a possible factor in the performance, until it rears its head once again and delivers the kick that will induce the vicious cycle.

People have often had the bad taste of asking me in a social setting if my day in trading was profitable. If my father were there, he would usually stop them by saying “never ask a man if he is from Sparta: if he were, he would have let you know such an important fact – and if he were not, you could hurt his feelings”. Likewise, never ask a trader if he is profitable; you can easily see it in his gesture and gait. People in the profession can easily tell if traders are making or losing money; head traders are quick at identifying an employee who is faring poorly. Their face will seldom reveal much, as people consciously attempt to gain control of their facial expressions. But the way they walk, the way they hold the telephone, and the hesitation in their behavior, will not fail to reveal their true disposition. On the morning after John had been fired, he certainly lost much of his serotonin – unless it was another substance that researchers will discover in another decade. One cab driver in Chicago explained to me that he could tell if traders he picked up near the Chicago Board of Trade, a futures exchange, were doing well. “They get all puffed up”, he said. I found it interesting (and mysterious) that he could detect it so rapidly. I later got some plausible explanation from evolutionary psychology, which claims that such physical manifestations of one's performance in life, just like an animal's dominant condition, can be used for signaling: it makes the winners seem easily visible, which is efficient in mate selection.